

MENOWITZ MANAGEMENT

[Address]

[City, State, ZIP]

[Phone] | [Email]

June 17, 2026

Cost Segregation Services, Inc. (CSSI)

Attn: [CSSI Contact Name / Engagement Manager]

[CSSI Address]

[City, State, ZIP]

**RE: Formal Notice of Material Errors — Grace Townhomes Housing, LLC
Engagement #107752-11 | Form 3115 Combined Package
DEMAND FOR IMMEDIATE CORRECTION AND WRITTEN RESPONSE**

Dear [CSSI Contact Name],

We are writing to formally notify Cost Segregation Services, Inc. ("CSSI") of three material errors identified in your cost segregation study and Form 3115 combined package prepared for **Grace Townhomes Housing, LLC** (EIN: 47-5360069) under engagement number #107752-11. These errors were discovered in the course of an independent line-by-line audit conducted by our CPA team across all nine properties in the #107752 engagement series.

The errors described herein are not minor formatting issues or immaterial rounding discrepancies. They are substantive, verifiable failures that directly compromise the accuracy of the Form 3115 filing, prevent reconciliation of the cost segregation report to the tax return, and raise serious questions about the scope of work actually performed relative to what was engaged and billed. We require written responses and corrected deliverables addressing each of the three issues set forth below.

ERROR NO. 1: Form 3115 Summary Sheet Does Not Reconcile to the Individual Per-Building Schedules

Your Form 3115 combined package includes a Summary Sheet (page 17) that purports to aggregate the Section 481(a) catch-up adjustments from all 28 individual per-building depreciation change schedules. Upon independent verification, the Summary Sheet total does not agree with the arithmetic sum of those individual schedules:

Source	481(a) Adjustment
CSSI Summary Sheet, page 17	\$(120,565.76)
Sum of 28 individual per-building schedules	\$(205,582.84)
Discrepancy (understatement)	\$(85,017.08)

Your Summary Sheet understates the correct 481(a) adjustment by **\$85,017.08**. The individual per-building schedules are internally consistent — each building's Before and After End Depreciation figures produce a supportable per-building adjustment. The error is entirely in the Summary Sheet, which was populated incorrectly and was evidently not cross-checked against the underlying detail prior to delivery.

The consequence of this error is direct and material: if the Form 3115 is filed using your stated figure of (120,565.76), *the taxpayer will recognize* 85,017 less in favorable catch-up depreciation than the law permits. This is not a theoretical risk — it is a certain loss of tax benefit if the error is not corrected before filing.

We demand the following:

1. A corrected Form 3115 combined package with the Summary Sheet revised to reflect the correct total of \$(205,582.84).
2. A written explanation of how this error occurred, including identification of the specific step in your review process where the Summary Sheet figure was generated and why it was not reconciled to the individual schedules.
3. Confirmation that no other properties in the #107752 engagement series contain similar summary-to-detail discrepancies in their Form 3115 packages.

ERROR NO. 2: Equipment Asset Carries Inconsistent Asset Numbers Between the Cost Segregation Report and the Tax Return

Your cost segregation report for Grace Townhomes designates the Equipment asset as **Asset #9**. The 2024 federal tax return depreciation schedule for Grace Townhomes Housing, LLC lists the identical asset — same dollar amount (\$108,770.22), same depreciation method (200DB), same recovery period (5-year), same property description — as **Asset #4**.

These are unambiguously the same asset. The only difference is the asset number, and that difference is entirely the result of an error in your report.

This discrepancy makes it impossible for any CPA, tax reviewer, or auditor to reconcile your cost segregation report to the tax return without manual intervention. Asset #4 on the return has no

corresponding entry in your report. Asset #9 in your report has no corresponding entry on the return. The reconciliation fails at the first line of comparison.

A cost segregation report that cannot be reconciled to the tax return it was prepared to support is not a functional work product. This type of error should be identified and corrected in the most basic quality review before a report is delivered to a client.

We demand the following:

1. A written confirmation, on CSSI letterhead, identifying Asset #9 in your cost segregation report as the same asset as Asset #4 on the Grace Townhomes tax return, with a clear explanation of the source of the numbering discrepancy.
2. A corrected report or addendum that uses consistent asset numbering throughout, aligned with the tax return.

ERROR NO. 3: The Cost Segregation Analysis Was Applied to Only 15.6% of the Total Depreciable Basis — The Remaining 84.4% Was Never Analyzed

This is the most significant finding in our audit, and it demands a direct and complete explanation.

Grace Townhomes Housing, LLC has a total depreciable basis of **\$5,162,799**. Your cost segregation analysis was applied to **\$806,044** of that basis — the site improvements and equipment. The remaining **\$4,356,755**, representing the 28 residential apartment buildings themselves (Assets #1 and #5 on the tax return), was left entirely on a 27.5-year straight-line depreciation schedule with no component-level reclassification performed.

Basis Category	Amount	% of Total
Analyzed by CSSI (site + equipment)	\$806,044	15.6%
Not analyzed (28 residential buildings)	\$4,356,755	84.4%
Total Depreciable Basis	\$5,162,799	100%

The purpose of a cost segregation study is to identify and reclassify building components — flooring, cabinetry, plumbing fixtures, HVAC, electrical systems, specialty items — from 27.5-year residential real property into shorter-lived asset classes (5-year, 7-year, 15-year), thereby accelerating depreciation deductions for the taxpayer. For a residential apartment complex of this size, a competently executed study typically reclassifies 20% to 40% of the total building basis into accelerated categories.

Your study reclassified components representing **15.6% of the total basis**, and the entirety of that reclassification came from the site — not from the buildings. The 28 residential apartment buildings that constitute the core of this property were never subjected to component-level analysis. They remain on 27.5-year straight-line depreciation exactly as they would have been had no cost segregation study been performed on them at all.

The client engaged and paid CSSI to perform a cost segregation study on Grace Townhomes Housing, LLC. Whether the scope of that engagement was explicitly limited to the site only — or whether the building component analysis was omitted in error — is a question that requires an unambiguous answer.

We demand the following:

1. **If the scope was intentionally limited to the site:** Produce the executed engagement letter or written scope agreement confirming that the client was informed of and agreed to a site-only analysis. Explain why a site-only analysis was recommended for a property with \$4.36 million in building basis, and confirm what fee was charged for this limited scope.
2. **If the building component analysis was omitted in error:** Deliver a corrected and complete cost segregation study covering the full depreciable basis of Grace Townhomes, including component-level analysis of all 28 residential apartment buildings, at no additional charge to the client.
3. In either case, provide a written quantification of the additional accelerated depreciation that would have been available to the taxpayer had a full building component analysis been performed, so that the client can assess the extent of any financial harm resulting from the omission.

Response Deadline and Escalation

We require a written response to each of the three demands set forth above **no later than ten (10) business days from the date of this letter**. At minimum, your response must include:

- Acknowledgment of receipt of this letter and each of the three errors identified herein.
- A timeline for delivery of corrected documents.
- A written explanation of how each error occurred and what steps CSSI will take to prevent recurrence.

If we do not receive a substantive written response within ten business days, or if the corrected deliverables are not received within thirty (30) calendar days of this letter, we will have no choice but to escalate this matter, including but not limited to referral to the appropriate professional

oversight bodies and pursuit of all available remedies for the costs and damages resulting from CSSI's errors.

We take no pleasure in sending a letter of this nature. We engaged CSSI in good faith across nine properties representing a significant portfolio, and we expect the same professionalism in return. The errors identified in the Grace Townhomes engagement fall well below the standard of care that a client is entitled to expect from a firm that holds itself out as a specialist in cost segregation services.

We look forward to your prompt response and to resolving these matters without further escalation.

Sincerely,

Nicole [Last Name]

Menowitz Management

[Title]

[Phone]

[Email]

CC:

Beth Cohen, CPA — Menowitz Management

Jeff Sedacca — [Firm Name]

[File]

Enclosure: Independent Audit Report — CSSI Cost Segregation Study, Series #107752 (June 17, 2026)